



FEDERAL RETIREMENT THRIFT INVESTMENT BOARD
77 K Street NE, Washington, DC 20002

MEMORANDUM FOR BOARD MEMBERS

GERBER, BILYEU, BRIDGES,
AND OLIVARES

FROM: Sean McCaffrey, Chief Investment Officer

DATE: October 28, 2025

SUBJECT: September 2025 Investment Program Review

INTRODUCTION

This report reviews key aspects of the TSP's investment program, including performance, benchmark differences, interfund transfer activity, and participant allocations.

RETURNS AND BENCHMARK DIFFERENCES

The tables below contain the monthly and year-to-date (YTD) returns and benchmark differences for the F, C, S, and I Funds and for the separate accounts managed by BlackRock and State Street. Due to rounding, the benchmark differences may not match the differences in displayed returns.

September 2025 Returns and Benchmark Differences

		<u>Fixed Income</u>	<u>Large Cap</u>	<u>Small Mid Cap</u>	<u>International</u>
		<u>(F Fund)</u>	<u>(C Fund)</u>	<u>(S Fund)</u>	<u>(I Fund)</u>
Return	Index	1.09%	3.65%	2.04%	2.87%
	BlackRock	1.09%	3.65%	2.05%	3.23%
	State Street	1.09%	3.65%	2.04%	2.89%
	TSP Fund (Net)	1.09%	3.65%	2.04%	3.16%
Benchmark Difference	BlackRock	0.00%	0.00%	0.01%	0.36%
	State Street	0.00%	0.00%	0.00%	0.01%
	TSP Fund	0.00%	0.00%	0.00%	0.29%

BlackRock's performance for the F, C, and S Funds was in line with the Funds' respective indices for the month. Its performance for the I Fund was ahead of the International Index by 36 basis points, primarily due to fair value pricing.

State Street's performance for the F, C, S, and I Funds was in line with the Funds' respective indices for the month.

2025 YTD Returns and Benchmark Differences

		<u>Fixed Income</u>	<u>Large Cap</u>	<u>Small Mid Cap</u>	<u>International</u>
		<u>(F Fund)</u>	<u>(C Fund)</u>	<u>(S Fund)</u>	<u>(I Fund)</u>
Return	Index	6.13%	14.83%	11.18%	24.52%
	BlackRock	6.16%	14.83%	11.19%	25.44%
	State Street	6.18%	14.83%	11.27%	25.13%
	TSP Fund (Net)	6.14%	14.80%	11.18%	25.34%
Benchmark Difference	BlackRock	0.03%	-0.01%	0.01%	0.92%
	State Street	0.04%	0.00%	0.09%	0.62%
	TSP Fund	0.00%	-0.03%	0.00%	0.82%

Year-to-date, BlackRock's performance for the F Fund was ahead of the Fixed Income Index by 3 basis points, primarily due to securities sampling. Its performance for the C and S Funds was in line with the Funds' respective indices. Its performance for the I Fund was ahead of the International Index by 92 basis points, primarily due to tax advantage and fair value pricing.

Year-to-date, State Street's performance for the F Fund was ahead of the Fixed Income Index's return by 4 basis points, primarily due to interest earned on cash in the Fund. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, State Street was ahead of the Small Mid Cap Index by 9 basis points, primarily due to securities sampling and securities lending. For the I Fund, State Street was ahead of the International Index by 62 basis points, primarily due to tax advantage and fair value pricing.

Annualized Net Returns as of September 30, 2025

	1-Year	3-Year	5-Year	10-Year
G Fund	4.44%	4.34%	3.30%	2.71%

	1-Year	3-Year	5-Year	10-Year
F Fund	2.90%	4.92%	-0.36%	1.95%
Bloomberg US Agg Bond Index	2.88%	4.93%	-0.45%	1.84%
Benchmark Difference	0.01%	-0.01%	0.09%	0.11%

	1-Year	3-Year	5-Year	10-Year
C Fund	17.55%	24.88%	16.43%	15.28%
S&P 500 Index	17.60%	24.94%	16.47%	15.30%
Benchmark Difference	-0.05%	-0.05%	-0.03%	-0.02%

	1-Year	3-Year	5-Year	10-Year
S Fund	16.41%	19.64%	11.48%	11.38%
Dow Jones US Completion TSM Index	16.43%	19.50%	11.30%	11.19%
Benchmark Difference	-0.02%	0.14%	0.18%	0.19%

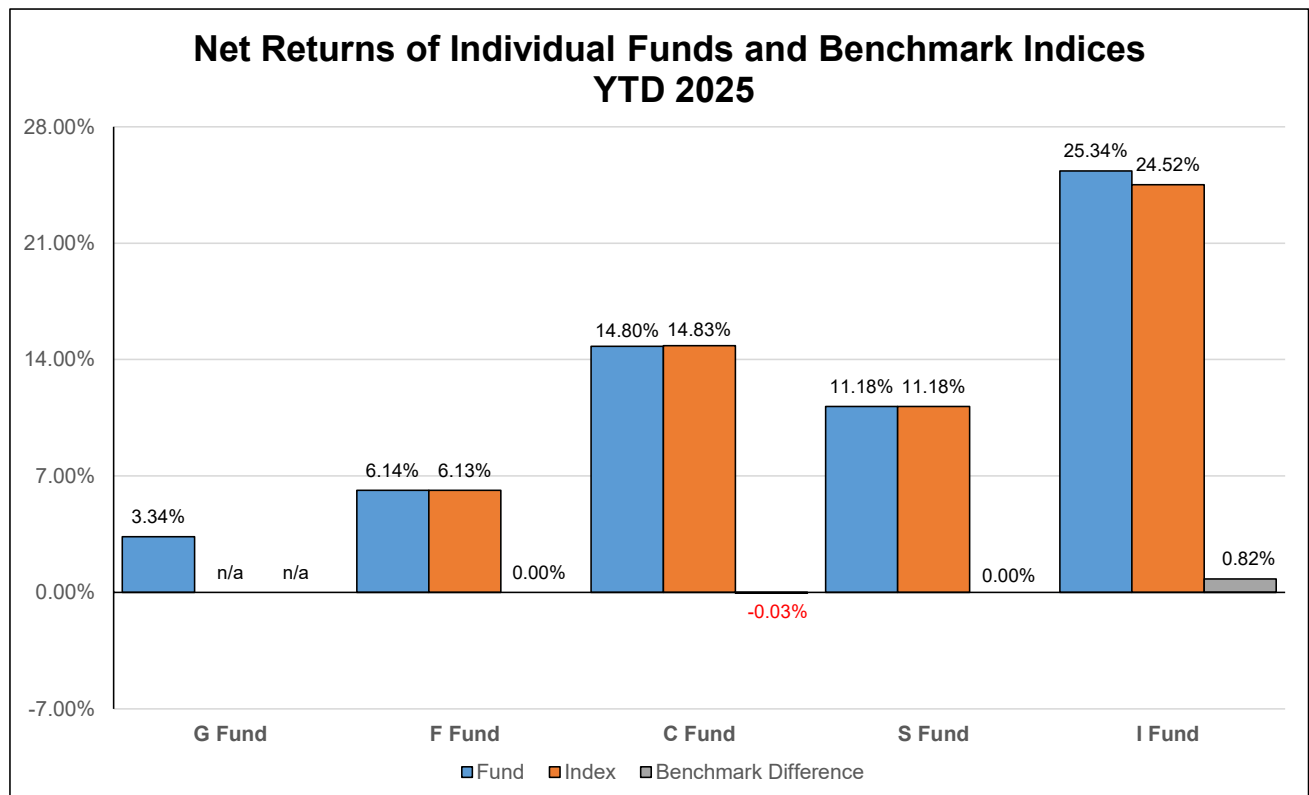
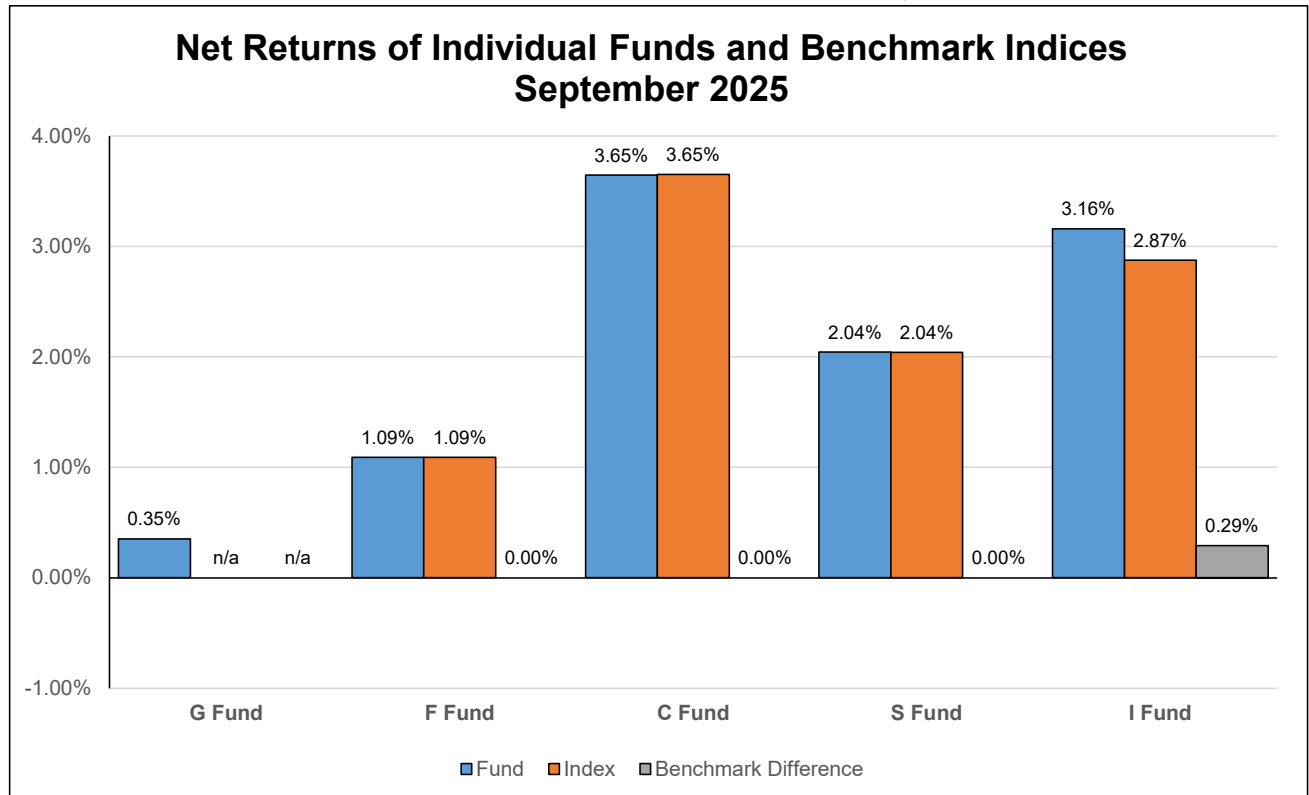
	1-Year	3-Year	5-Year	10-Year
I Fund	15.48%	22.32%	11.49%	8.53%
International Index*	15.07%	21.65%	11.12%	8.15%
Benchmark Difference	0.41%	0.67%	0.37%	0.37%

* MSCI EAFE through July 31, 2024; MSCI ACWI IMI ex USA ex China ex Hong Kong thereafter.

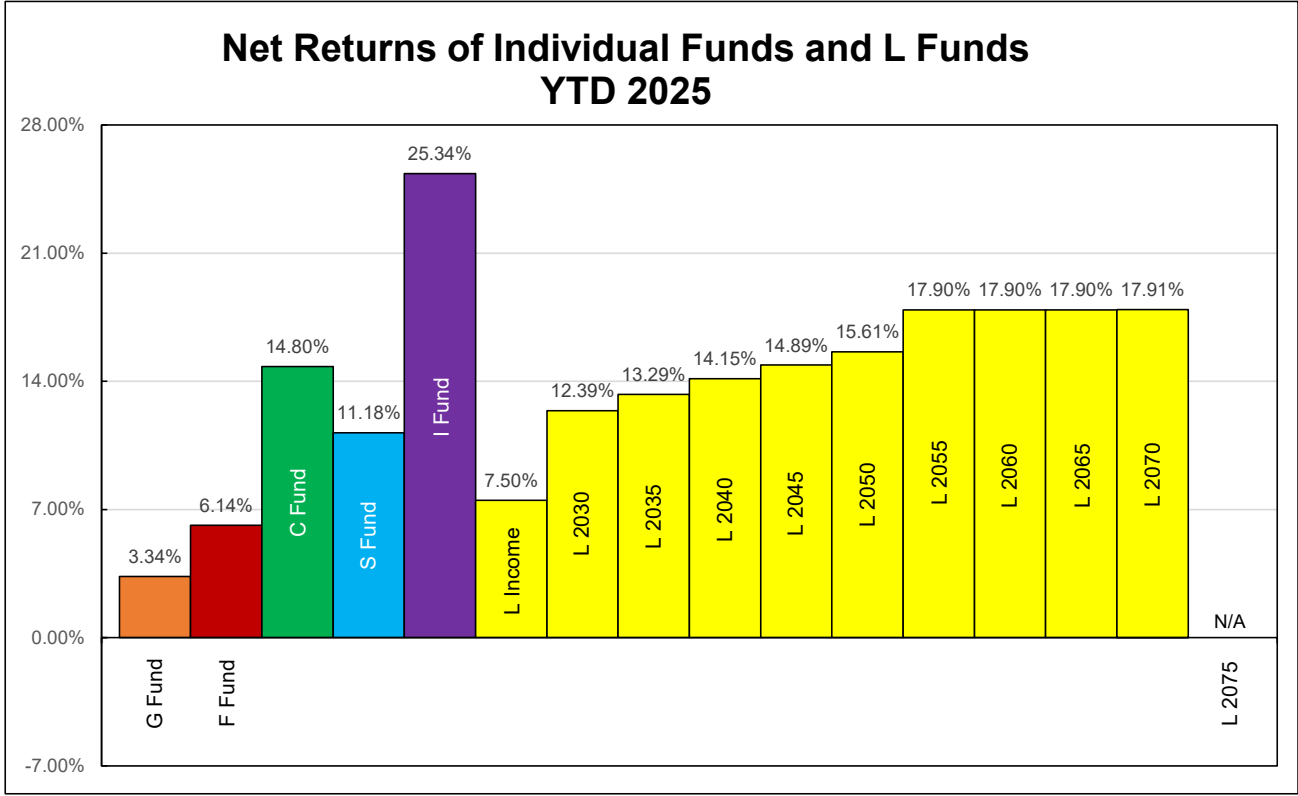
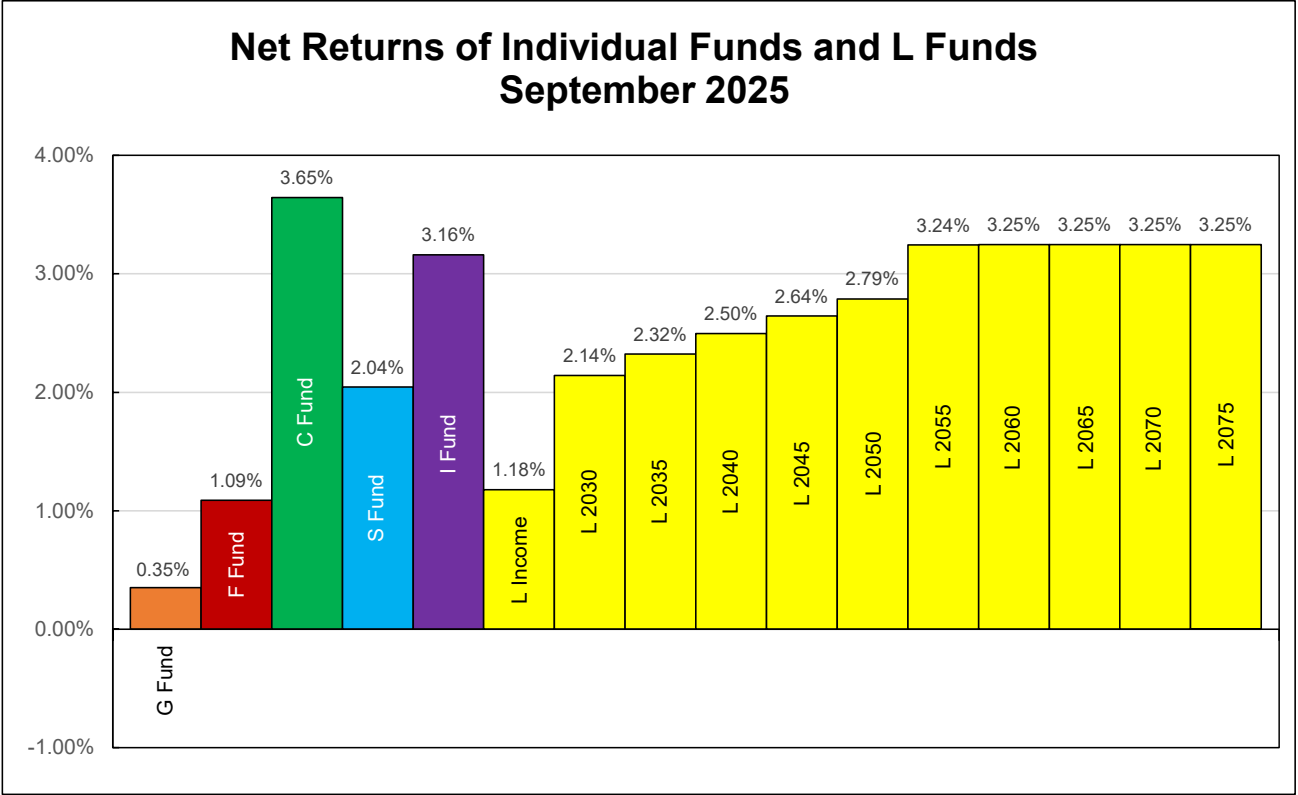
	Inception Date	1-Year	3-Year	5-Year	10-Year
L Income Fund	August 1, 2005	7.85%	9.20%	5.96%	5.08%
L 2030 Fund	August 1, 2005	12.00%	15.82%	9.84%	8.90%
L 2035 Fund	July 1, 2020	12.71%	16.94%	10.43%	N/A
L 2040 Fund	August 1, 2005	13.41%	18.06%	11.03%	9.96%
L 2045 Fund	July 1, 2020	14.01%	19.01%	11.52%	N/A
L 2050 Fund	January 31, 2011	14.61%	19.97%	12.04%	10.88%
L 2055 Fund	July 1, 2020	16.77%	23.26%	14.09%	N/A
L 2060 Fund	July 1, 2020	16.76%	23.26%	14.08%	N/A
L 2065 Fund	July 1, 2020	16.76%	23.26%	14.08%	N/A
L 2070 Fund	July 26, 2024	16.77%	N/A	N/A	N/A
L 2075 Fund	June 30, 2025	N/A	N/A	N/A	N/A

Performance of TSP Funds

The charts below show the G, F, C, S, and I Fund net rates of return vs. their respective benchmark indices.

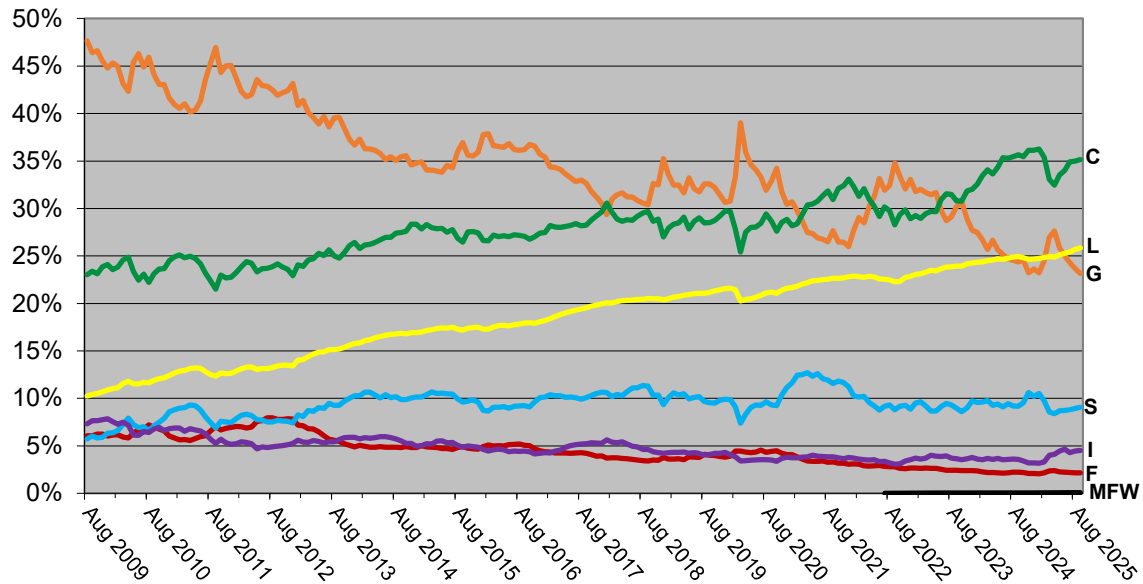


Net rates of return for the L Funds are shown below, along with comparable returns for the G, F, C, S, and I Funds.



Asset Allocation

Participant Asset Allocation History as of September 30, 2025

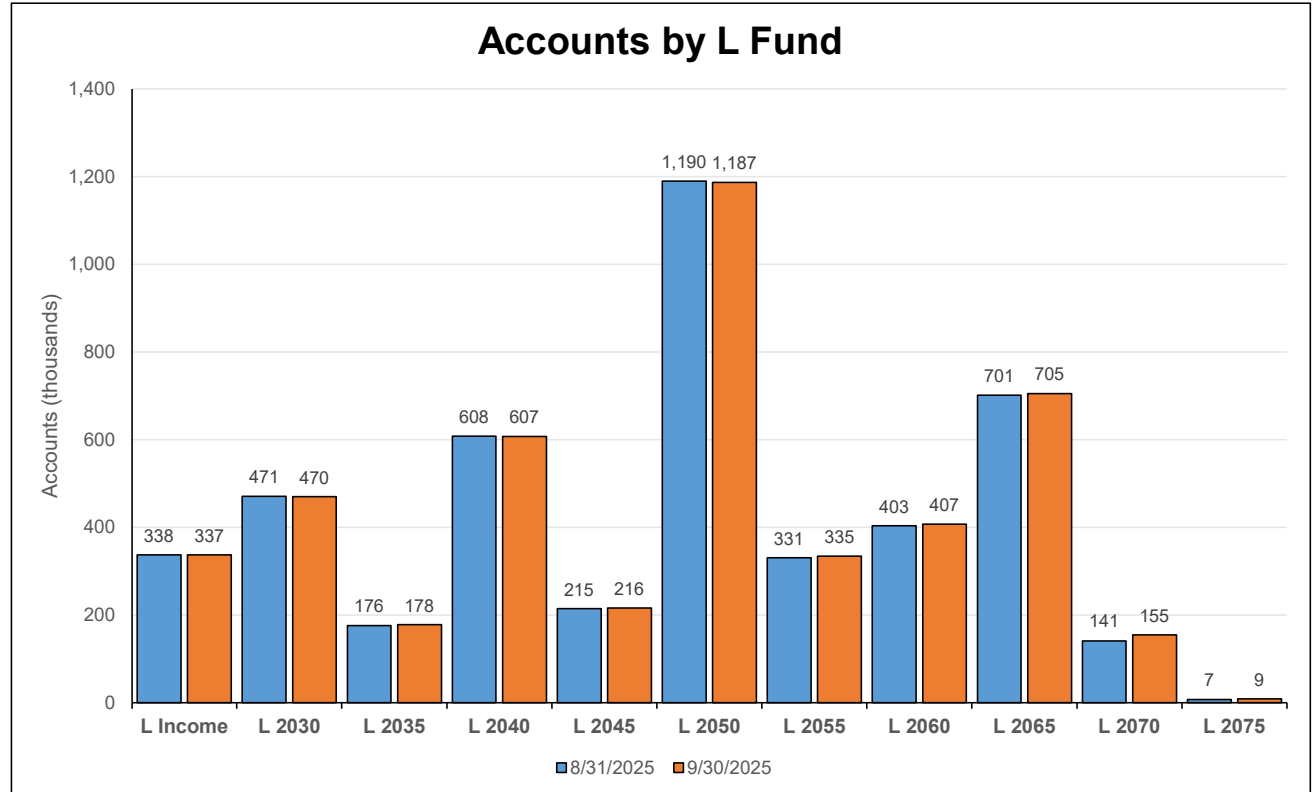
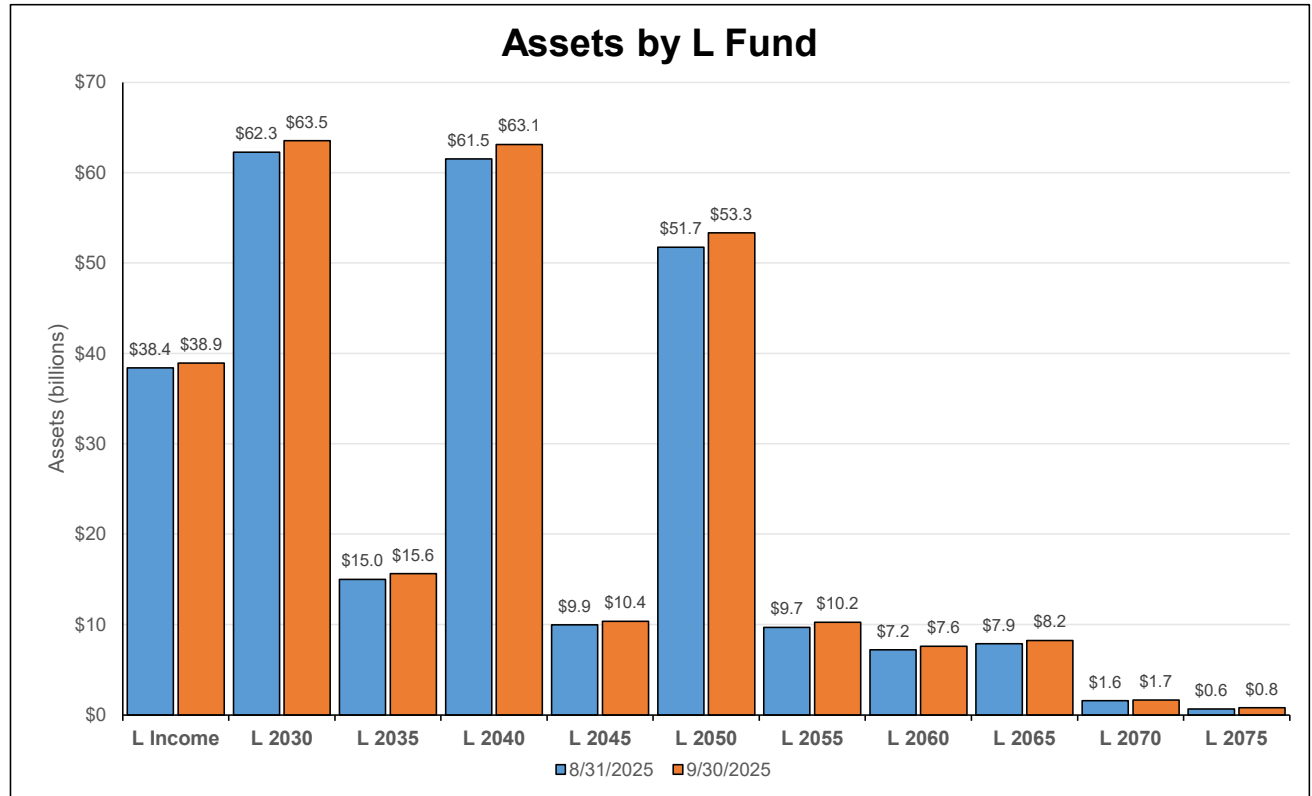


Asset Allocation as of September 30, 2025

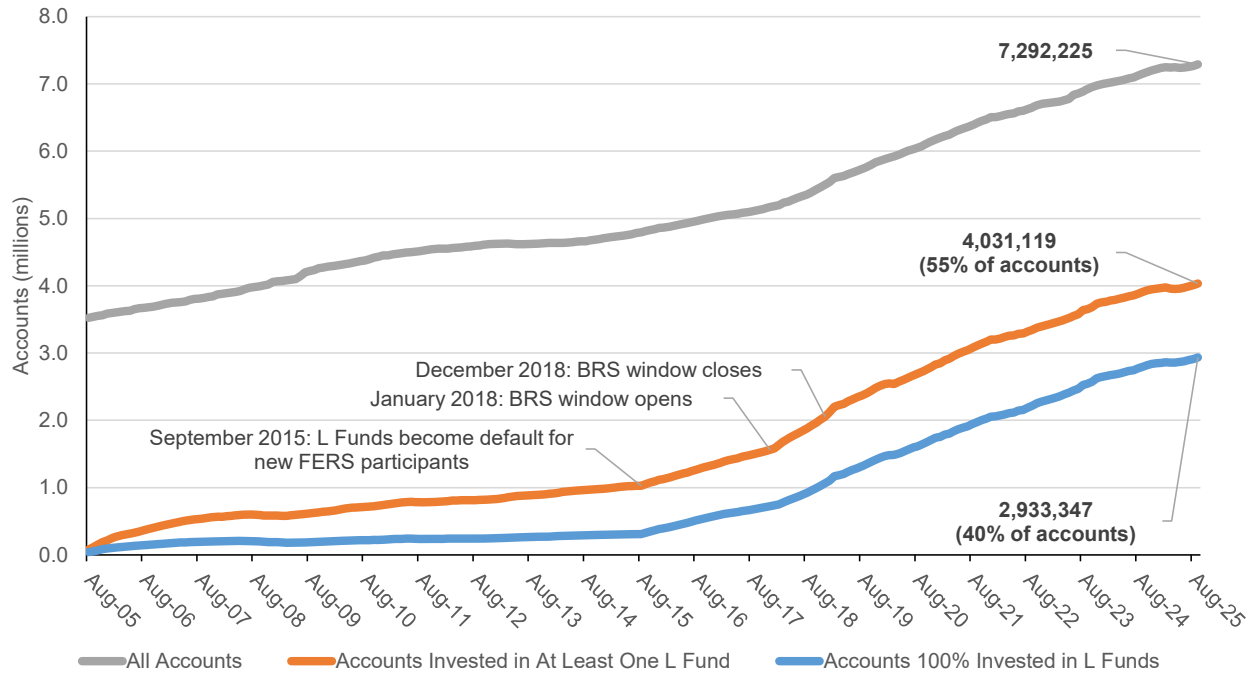
	<u>Participant Allocation</u>		<u>Individual TSP Funds</u>	
	<u>Assets</u> (Billions)	<u>Share of</u> Total	<u>Assets</u> (Billions)	<u>Share of</u> Total
G Fund	\$244.7	23.1%	\$319.1	30.2%
F Fund	\$22.9	2.2%	\$38.4	3.6%
C Fund	\$371.8	35.2%	\$467.2	44.2%
S Fund	\$96.1	9.1%	\$119.8	11.3%
I Fund	\$47.8	4.5%	\$112.1	10.6%
L Funds	\$273.4	25.9%	n/a	n/a
<u>MFW</u>	<u>\$0.7</u>	<u>0.1%</u>	<u>\$0.7</u>	<u>0.1%</u>
Total	\$1,057.3	100.0%	\$1,057.3	100.0%

*Components may not sum to totals due to rounding.

Lifecycle (L) Funds

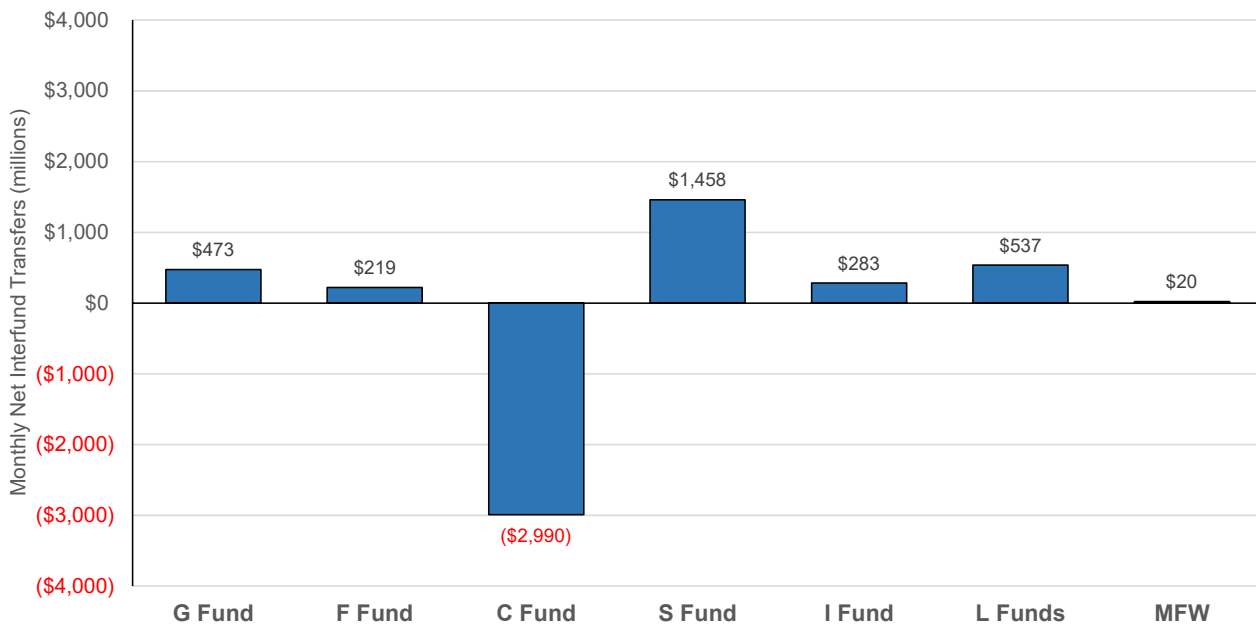


Participation History of the L Funds as of September 30, 2025



Interfund Transfer Activity

Monthly Net Interfund Transfers September 2025



*Values may not sum to zero due to rounding.

PROXY VOTING – SECOND QUARTER 2025

An audit of BlackRock's proxy voting conducted by ISS found no exception to BlackRock's established guidelines during the second quarter of 2025. An audit of State Street's proxy voting conducted by ISS found one exception to State Street's established guidelines during the second quarter of 2025. This exception represented 0.1% of the sample reviewed. The issue stemmed from an instruction update that was erroneously omitted for one country during a global configuration change to the voting tool. Upon discovery, a comprehensive analysis confirmed that the deviation had no material impact on voting outcomes during the second quarter or any prior period. State Street further verified that the tool is now operating correctly with the updated instruction applied universally.

Copies of the audit reports are provided in this report as Attachments 1 and 2. The ISS audit reports for the third quarter of 2025 are not yet available.

CLASS ACTION SETTLEMENTS – SECOND QUARTER 2025

BlackRock began the second quarter with 97 open claims. During the quarter, 17 claims were opened: three claims in the C Fund, 12 claims in the S Fund, and two claims in the I Fund. Twenty-one claims were closed during the quarter. Three claims in the C Fund and four claims in the S Fund were closed due to administrator action. One claim in the F Fund, three claims in the C Fund, eight claims in the S Fund, and two claims in the I Fund were settled, totaling \$1,678,592. Residual payments from 17 previously closed claims were \$34,788. Total proceeds for the quarter were \$1,713,380. Ninety-three claims remained open at the end of the quarter.

	<u>Open at Start of Quarter</u>	<u>Opened During Quarter</u>	<u>Closed During Quarter</u>	<u>Open Claims Outstanding</u>	<u>Total of Settled Claims in 2025</u>
F Fund	4	-	1	3	\$17,671
C Fund	26	3	6	23	\$1,345,603
S Fund	64	12	12	64	\$2,576,644
I Fund	3	2	2	3	\$288,765
Total	97	17	21	93	\$4,228,684

State Street began the second quarter with 50 open claims. During the period, five claims were opened in the S Fund and two claims were opened in the I Fund. One claim in the C Fund and seven claims in the S Fund were closed due to administrator action. Additionally, one claim in the C Fund and seven claims in the S Fund were settled, totaling \$452,075. Forty-one claims remained open at the end of the quarter.

	<u>Open at Start of Quarter</u>	<u>Opened During Quarter</u>	<u>Closed During Quarter</u>	<u>Open Claims Outstanding</u>	<u>Total of Settled Claims in 2025</u>
F Fund	-	-	-	-	\$0
C Fund	6	-	2	4	\$32,200
S Fund	44	5	14	35	\$837,387
I Fund	-	2	-	2	\$0
Total	50	7	16	41	\$869,587

ATTACHMENTS

Attachment 1: Audit Report on BlackRock's Proxy Voting in the Second Quarter of 2025

Attachment 2: Audit Report on State Street's Proxy Voting in the Second Quarter of 2025



August 1, 2025

Mr. John Roe
Managing Director
BlackRock Investment Stewardship
BlackRock
50 Hudson Yards
New York, NY 10001

Dear John,

Enclosed are the results of our review of US proxy votes by BlackRock for the 2nd quarter of 2025. Our review found that there were no exceptions to policy over this period.

Best regards,



Recoverable Signature

X Andrew E. Linberg

Signed by: FA43D0FA81CF4ED79386D58F2938A531

Andrew E. Linberg
Head of Custom Research – Americas

INSTITUTIONAL SHAREHOLDER SERVICES INC.

702 King Farm Boulevard Suite 400
Rockville, MD 20850

ISSGOVERNANCE.COM

MEMORANDUM

The results of our review of BlackRock's 2nd quarter proxy voting for US meetings are as follows:

- Votes at 303 meetings were examined.
- Votes at 170 of the 303 meetings were for directors, auditors, and/or management say-on-pay (MSOP) only.
- At the 133 remaining meetings, there were 188 non-director/auditor/MSOP proposals.

The following table illustrates the votes involved by proposal type:

Proposal	Votes
Executive stock plan	69
Non-executive stock plan	1
Employee share purchase plan	9
Advisory vote on golden parachute compensation	3
Frequency vote on MSOP	28
Reverse stock split	6
Reduce authorized common stock	1
Increase authorized common stock	13
Approve issuance of common stock upon exercise of warrants	3
Approve merger agreement	3
Change state of incorporation	1
Approve delisting of shares	1
Adjourn meeting	14
Declassify board of directors	3
Amend certificate of incorporation to limit liability of certain officers	2
Amend certificate of incorporation to provide for exculpation of certain officers	8
Reduce/eliminate supermajority vote requirements	2
Amend articles	1
Shareholder proposal	20
Total:	188

INSTITUTIONAL SHAREHOLDER SERVICES INC.

702 King Farm Boulevard Suite 400
Rockville, MD 20850

ISSGOVERNANCE.COM

- There were 69 votes cast on executive stock plans:
 - a) 66 votes were cast in favor of the plans (95.7 percent);
 - b) 3 votes were cast against the plans (4.3 percent);
 - i) 2 plans were opposed due to the ability to reprice options without prior shareholder approval;
 - ii) 1 plan was opposed as incentive arrangements are poorly structured;
- There was 1 vote cast on a non-executive stock plan; the vote was cast in favor of the plan.
- There were 9 votes cast on employee share purchase plans; the votes were cast in favor of the plans.
- There were 3 votes cast on mergers, acquisitions, and/or major corporate transactions; the votes were cast in favor of the transactions.
- There were 13 votes cast on increases in authorized common stock; the votes were cast in favor of the increases.
- There were 20 votes cast on shareholder proposals which included:
 - a) 1 shareholder proposal to require independent board chairman; the vote was cast against the proposal.
 - b) 1 shareholder proposal to reduce ownership threshold to request action by written consent; the vote was cast against the proposal.
 - c) 2 shareholder proposals to amend right to call special meeting; the votes were cast against the proposals.
 - d) 1 shareholder proposal to provide right to call special meeting; the vote was cast in favor of the proposal.
 - e) 4 shareholder proposals to adopt simple majority vote; the votes were cast in favor of the proposals.
 - f) 1 shareholder proposal to report on lobbying payments; the vote was cast against the proposal.
 - g) 2 shareholder proposals to amend clawback policy; the votes were cast against the proposals.
 - h) 1 shareholder proposal to submit severance agreement to shareholder vote; the vote was cast against the proposal.
 - i) 1 shareholder proposal to adopt policy to reduce tire wear; the vote was cast against the proposal.
 - j) 1 shareholder proposal to consider eliminating non-carbon emitting generation goals in executive pay incentives; the vote was cast against the proposal.
 - k) 1 shareholder proposal to disclose all material Scope 3 GHG Emissions; the vote was cast against the proposal.
 - l) 1 shareholder proposal to report on imported nonhuman primates; the vote was cast against the proposal.
 - m) 1 shareholder proposal to adopt GHG emissions reduction targets aligned with the Paris Agreement Goal; the vote was cast against the proposal.
 - n) 1 shareholder proposal to report on climate-related pricing and coverage decisions; the vote was cast against the proposal.

- o) 1 shareholder proposal to report on supply chain GHG emissions reduction strategies; the vote was cast against the proposal.
- There were 243 votes cast on management advisory votes on executive compensation:
 - a) 233 votes were cast in favor of the advisory votes (95.9 percent);
 - b) 10 votes were cast against the advisory votes (4.1 percent)
- There were 3 votes cast on management advisory votes on golden parachute compensation; the votes were cast in favor of the advisory votes.

There were no exceptions to policy this period.



August 11, 2025

Mr. Benjamin Colton
Global Co-Head of Asset Stewardship
State Street Global Advisors
State Street Financial Center
One Iron Street
Boston, MA 02210

Dear Benjamin,

The Custom Research team has completed its Q2 2025 audit of SSgA vote recommendations. We examined 50 US and International meetings, containing a total of 704 agenda items. In reviewing these items against the SSgA policy document, we identified one (1) error in the application of SSgA's policy (for an overall error rate of 0.1%).

Please feel free to contact us should you have any questions.

Sincerely,

A handwritten signature in black ink that reads "Adam Lee".

Adam Lee
Associate Director, Custom Research